

**NATIONAL EDUCATIONAL ASSESSMENT
AND EXAMINATIONS AGENCY (NEAEA)**

**NATIONAL EXIT EXAM FOR LL.B PROGRAM
STUDENTS OF ETHIOPIAN LAW SCHOOLS
2019/2020 ACADEMIC YEAR**

November 10, 2020
Time allowed: 3Hours.

PART I: PRIVATE LAWS

INSTRUCTIONS:

1. THIS EXAM HAS FIVE SECTIONS: ATTEMPT EACH SECTION ON THE BASIS OF SPECIFIC INSTRUCTIONS INDICATED IN EACH SECTION.
2. THIS IS A CLOSED BOOK EXAM EXCEPT **PERTINENT ETHIOPIAN LAWS**.
3. SUPPORT YOUR ARGUMENTS WITH PERTINENT LEGAL PROVISIONS WHENEVER APPROPRIATE.
4. PUT YOUR ANSWERS IN A SEPARATE ANSWER SHEET ATTACHED TO THE EXAM.
5. YOU MAY ASSUME FACTS WHERE NECESSARY.
6. WRITE LEGIBLY.
7. DO NOT BRING YOUR MOBILE PHONE IN THE EXAM HALL.

DO NOT TURN THIS PAGE UNTIL YOU ARE ALLOWED TO DO S

SECTION I: CHOOSE THE BEST ANSWER (30%)

1. Which one of the following groups enjoys a constitutional safeguard against eviction from their landholdings?
 - A. Urban residents.
 - B. Domestic investors.
 - ☒ C. Peasants and pastoralists.
 - D. Foreign investors.
 - E. Vulnerable social groups.

2. Identify an element which is **not** explicitly envisaged in the expropriation clause of the Federal Constitution of Ethiopia.
 - A. Commensurate compensation.
 - B. Public purpose.
 - ☒ C. Taking.
 - D. Government as a taker of property.
 - E. Land rights.

3. The principle that states an owner of an immovable thing may **not** cause nuisance or damage to his/her neighbor relates to _____.
 - A. Sustainability of ownership.
 - B. Divisibility of ownership.
 - ☒ C. Abuse of ownership.
 - D. Transferability of ownership.
 - E. Dynamism of ownership.

4. Which one of the following is **not** sound in apportioning power over land in the present Constitution of Ethiopia?
 - A. The Federal Government has the power to enact laws for the utilization and conservation of land. ✓
 - ☒ B. The Federal Government does not possess the power to issue laws for the administration of land.
 - C. The regional states have the power to administer land in accordance with federal laws. ✓
 - D. The regional states have the authority to pass laws for the utilization of land.
 - E. Both the Federal Government and regional states possess power over land. ✓

10. 11
5. One of the following is not correct in respect of the present urban land lease law of Ethiopia.
- A. It allows a lawful landholder to mortgage his/her land use right.
 - B. It allows a lawful landholder to bequeath his/her land use right.
 - C. It allows a lawful landholder to donate his/her land use right.
 - D. It allows a lawful landholder to contribute his/her land use right to business.
 - ☒ E. It precludes a lawful landholder from selling his/her land use right.
6. Single out a type of property right which may be subject to attachment by creditors under the Civil Code of Ethiopia:
- A. Promise of sale.
 - B. Right of recovery.
 - C. Usufruct.
 - D. Right of preemption.
 - E. Right of occupation of premises.
7. A landholder may, under Ethiopian law, claim:
- A. The airspace directly above his/her plot indefinitely.
 - B. The subsurface directly below his/her plot indefinitely.
 - ☒ C. The airspace directly below his/her plot to the extent necessary for the use of the land.
 - D. The minerals which exist directly beneath his/her plot.
 - E. The materials placed on the surface of his/her plot.
8. Which one of the following requires the longest duration?
- A. Period of limitation for filing a possessory action.
 - B. Prescription with regard to movable property.
 - C. Period of limitation with regard to recovery of lost and found things by an original owner.
 - D. Period of time which is required to invoke usucaption.
 - E. Period of limitation concerning recovery of stolen things from a person in good faith.
9. A person is assumed to be an owner of an ordinary movable thing under the law of Ethiopia when he/she:
- A. Enters into possession of such movable.
 - B. Enters into possession of such movable with intent to be an owner thereof.
 - C. Develops an intent to be an owner of such movable.
 - D. Concludes a contract followed by delivery of such movable.
 - E. Concludes a contract followed by delivery and registration of such movable.

10. Which one of the following concepts fully captures land rights given to the rural masses in the present-day Ethiopia?

- A. Land lease
- ☒ B. Usufruct
- C. Ownership
- D. Use right
- E. Fruits

11. Which of the following may **not** be considered a formal source of property law in Ethiopia?

- A. The Federal Constitution
- B. International human rights instruments ratified by Ethiopia
- C. Binding interpretation of the Cassation Bench of the Federal Supreme Court
- D. Customary law which does not contravene the Federal Constitution
- E. Writings of leading scholars

12. One of the following is **not** consequence of unconscionable contract.

- A. Contract aspect leading to invalidation
- B. Tort aspect leading to claim of damage
- C. A penal aspect leading to punishment under usury
- D. Moral aspect leading to social criticism
- E. Administrative aspect leading to suspension of business licenses, if any

13. One of the following is **not** specific performance:

- A. A creditor is authorized by a court to buy at a debtor's expense.
- B. A creditor is authorized to demolish things done by a debtor in violation of his obligation.
- C. A debtor is authorized to deposit things at the risk and expenses of a creditor.
- D. A seller is required to handover to the buyer a thing which is the subject matter of the sale contract.
- E. A seller is authorized to make a compensatory sale.

14. Identify an **incorrect** statement about proof of contracts.

- A. A content of a written contract may serve as circumstantial evidence against third parties.
- B. Statements contained in a written contract may be freely challenged by the heirs of the parties to the contract.
- C. A person can disclaim his alleged handwriting/signature contained in authenticated document.
- D. Date of the death of a person who signed a contract would be the authentic date of that contract.
- E. Parties to a contract do not have autonomy to determine proof of the contract.

20. All a
A. B.
15. Which of one of the following means would the government use to regulate contract?
- A. Introducing written form as a validity element of contract
 - B. Broadening freedom of contract
 - C. Defining contract as a consensual relation between parties
 - D. Recognizing contract as a law between the parties
 - E. Introducing liberal economic policy
16. Commercial transactions that involve exchange of goods/services for consideration may be outside of the purview of contract law when:
- A. The transaction relates to an obligation that is legally prohibited.
 - B. The agreement relates to the transfer of ownership of incorporeal chattel.
 - C. There is no sufficient and legitimate cause for the transaction.
 - D. The agreement is described as honorable pledge.
 - E. The transaction highly favors one of the parties.
17. Which of the following is valid about relationship by affinity according to the Revised Family Code?
- A. Relationship by affinity is created as a result of blood relationship.
 - B. Relationship by affinity is created as a result of contractual relationship.
 - C. It has an effect between the relatives of the spouses.
 - D. It is not considered as an impediment in forming an Irregular Union.
 - E. It is considered as an impediment in forming an Irregular Union.
18. Which one of the following statements is **wrong** about customary and religious marriages according to the Revised Family Code?
- A. The validity of both types of marriage is not affected by their registration.
 - B. Their formality requirements are to be prescribed by the relevant laws.
 - C. Their substantive requirements are to be prescribed by the relevant custom and religion.
 - D. Their formality requirements are to be prescribed by the relevant custom and religion.
 - E. Although both were included in the Civil Code, they are discarded in the Revised Family Code.
19. Which of the following is **different** among the given alternatives?
- A. Respect and Assistance
 - B. Family Management
 - C. Cohabitation
 - D. Duty of fidelity
 - E. Common Property

20. All are the consequences of divorce in the Revised Family Code **except**:
- A. Partition of common property
 - B. Decision on child custody
 - C. Payment of common debt
 - D. Decision on child maintenance
 - E. Decision on Payment of alimony
21. Which of the following can be considered as a ground of annulment of acknowledgement?
- A. Fraud
 - B. Mistake
 - C. Violence
 - D. Error
 - E. Fault
22. A child who **does not** have a father either through the operation of the presumption of paternity or by acknowledgement can have a father only by _____
- A. Ascertainment of Paternity
 - B. Agreement of adoption
 - C. Acknowledgement of paternity
 - D. Judicial declaration of paternity
 - E. Presumption of paternity
23. Which one of the following statements is precise about the drive behind the legal recognition of irregular union in the Revised Family Code?
- A. Allowing persons to engage in sexual relationships without first going through marriage ceremony results in decline in public morality.
 - B. The law of marriage protects society against being confounded by laxity of morals, promiscuity, free love and generally extravagance.
 - C. In relation to preserving public morality, religious authorities raise strong opposition to the entire phenomena of irregular union.
 - D. It is historically and practically unusual for people to have intimate relations or to live together without marrying.
 - E. Seen from economic, social and psychological perspectives, irregular unions are functionally identical to marriage.
24. Which of the following precedes all in order of action?
- A. Retaking of personal property
 - B. Payment of common debts
 - C. Division of common property
 - D. Payment of personal debt
 - E. Decision on child custody

25. Which one of the following is **not** an incorporeal element of business?
- A. Good will
 - B. Trademark
 - C. The right to lease the premises in which the trade is carried on
 - D. Raw materials
 - E. Patent or copy right
26. Which one of the following is **not** true about the relationship of partners with third parties?
- A. The creditors of the partnership can claim against partnership assets.
 - B. The creditors of the partnership may claim against the personal property of the partners.
 - C. The partners can avoid joint and several liability towards creditors by express agreement.
 - D. Any provision relieving one of the partners from a joint and several liability may be set up against third parties where such parties were aware of such provision.
 - E. Where a partner gives an interest in his partnership share to a third party or assigns his share to him, the third party becomes a partner and will have the same rights as other partners.
27. Which one of the following is **not** a common ground of dissolution for all forms of Business Organizations?
- A. Dissolution by notice
 - B. Dissolution through the order of court
 - C. Legal dissolution
 - D. Consensual dissolution
 - E. Judicial dissolution
28. Which one of the following is **not** true about management of a joint venture?
- A. The manager of a joint venture may or may not be a partner in the joint venture.
 - B. A statutory clause that restricts the powers of the manager may be set up against third parties.
 - C. A joint venture could be managed by more than one manager.
 - D. In the absence of appointed manager, each partner of a joint venture will have the status of manager.
 - E. The manager is known to third parties.

29. Which one of the following is **incorrect** about the liability of founders of a share company?
- Founders are jointly and severally liable to the company and third parties.
 - Failure to ensure the full subscription of the capital of a share company entails liability of the founders.
 - Any claim for damages against the founders could be barred by period of limitation.
 - Where a member makes a contribution in kind, such member shall file a report made and sworn by experts appointed by the founders which may otherwise entail the liability of the later.
 - The liability of the founders could include criminal liability.
30. The memorandum of association of a share company shall include all **except** _____
- The name of the company
 - The business purposes of the company
 - The name and address of the manager
 - The par value, number, form and classes of shares
 - The period of time for which the company is to be established

SECTION II: MATCH THE ITEMS UNDER 'A' WITH THOSE UNDER 'B' (10%)

- | <u>A</u> | <u>B</u> |
|---------------------------|--------------------------------------|
| 1. Set off | A. Counter-guarantor |
| 2. Custom | B. Positive conditions |
| 3. Gentlemen's agreement | C. Indivisibility of obligation |
| 4. Invalidation | D. Consequences of late performance |
| 5. General Terms | E. Simple surety |
| 6. Plurality of debtors | F. Contract term |
| 7. Secondary Debtor | G. Restitution |
| 8. Betrothal | H. Creditor's reliance |
| 9. Bargain theory | I. Limited meaning |
| 10. Benefit of Discussion | J. Joint and several liability |
| | K. Subordinate obligation |
| | L. Consideration |
| | M. Complementary terms of a contract |
| | N. Non-binding commercial agreement |
| | O. Agreement |
| | P. Guarantor |

SECTION III: SHORT ANSWERS (10%)

ANSWER THE FOLLOWING QUESTIONS

- 3.1. Define a thing as conceived under the property law of Ethiopia. (5%)
- 3.2. Can spouses dissolve their marriage by physically destroying their certificate of marriage without following any additional procedure? Why/ why not? (5%)

SECTION IV: SHORT ESSAYS (20%)

WRITE SHORT ESSAYS FOR THE FOLLOWING QUESTIONS

- 4.1. "The purpose of interpretation of a contract is to complement it but not to create it." Comment on the validity or otherwise of this statement by referring to the relevant provisions of the Civil Code of Ethiopia. (10%)
- 4.2. Discuss the distinction between business organizations and associations. (10%)

SECTION V: HYPOTHETICAL CASES (30%)

5.1. HYPOTHETICAL CASE I (15%)

Born and grown as neighbors in Adama, Ato Azaji and Ato Adugna have been intimate friends since childhood. Ato Azaji has been working in the construction sectors for years and owns three Sino-trucks. Ato Adugna is working as a taxi driver in Adama. In September 2019, Ato Adugna has started to construct his own house. One day, Ato Adugna gave a call to his friend Ato Azaji to borrow one of his Sino-trucks in order to transport some construction materials from downtown to the construction site. Accordingly, Ato Azaji gave him one of his trucks. After loading the construction materials, Ato Adugna was driving towards the construction site. In the middle of his way, Ato Adugna could not control the truck due to the failure of the brake. Struggling to control the truck, he drifted it a meter away from the road and knocked down 5 camels. As a result, Ato Tahir lost his 5 camels.

- 5.1.1. Knowing that you are the best lawyer in the town, Ato Tahir approaches you to seek legal advice for his loss. What would be your best legal advice? (8%)
- 5.1.2. Who should ultimately bear the burden of paying compensation for the loss suffered by Ato Tahir? Why? (7%)

5.2 HYPOTHETICAL CASE II (15%)

Fifty-five years old Goitom, a resident of Addis Ababa, died in April 2020 after suffering from lung cancer. While in hospital, he made a will in which he bequeathed his entire estate to his secretary who spent every day next to his bed during his last two weeks. He is survived by his wife, Shewit, and two daughters, Hanna and Betty. Shewit approaches you for advice. She alleges that Goitom lacked the necessary testamentary capacity to execute a valid will.

- 5.2.** Relying on the Ethiopian Law of Successions, advice Shewit on the capacity of the testator and as to who is legally entitled to inherit the deceased. (15%)